

Estimation questions: a four-step method

1. Clarify the scope

Restate what you are estimating, the unit, the time period, and the boundaries. Ask whether the interviewer wants a typical day or a peak day.

2. Break the estimate into drivers

Express the total as a few quantities you can reason about. For daily cafe drink sales, separate busy hours from quieter hours and estimate drinks sold per hour in each period.

3. State assumptions and calculate

Explain each assumption before multiplying or adding. Use round numbers so the interviewer can follow the arithmetic. Keep units visible.

4. Check plausibility

Compare the result with a capacity limit or a second rough estimate. Identify the assumption that could change the answer most and explain how you would validate it.

A useful closing sentence

My estimate is a starting point, not a measured fact. I would validate the busiest-hour sales rate first because it has the greatest effect on this example.

Worked example: daily cafe drink sales

Question and scope

How many drinks does one fictional cafe sell on a typical weekday? Count drinks, not customers. Assume the cafe is open for eight hours. These numbers are invented for demonstration.

Drivers and assumptions

Assume two busy hours at 120 drinks per hour and six quieter hours at 40 drinks per hour. The daily total is the busy-period sales plus the quieter-period sales.

Calculation

Busy period: 2 hours x 120 drinks/hour = 240 drinks. Quieter period: 6 hours x 40 drinks/hour = 240 drinks. Total: $240 + 240 = 480$ drinks per day.

Plausibility and sensitivity

Assume a capacity of 150 drinks per hour. The busy-hour estimate of 120 is below that capacity. If busy-hour sales range from 90 to 150, the daily estimate ranges from 420 to 540 drinks, holding quieter sales fixed.

What to validate

Ask for point-of-sale counts by hour to check the assumed busy-hour sales rate. This example illustrates a reasoning process; it is not market research or a forecast.